

Armenia-Azerbaijan Relations

Armenia, Azerbaijan, South Caucasus

SIGNAL Armenia's Western institutional integration is accelerating through TRIPP legislation and EU trade liberalization, while Russia has escalated its economic retaliation beyond sectoral bans into a systemic trade war targeting Armenia's agricultural export base.

FRACTURE The diplomatic mechanism for translating Armenia's Western pivot into a peace treaty has broken down, leaving the constitutional deadlock and Azerbaijan's multi-layered preconditions without any active negotiation channel.

Armenia and Azerbaijan will fail to sign a comprehensive peace treaty over the next 12 months.

80%

PROBABILITY

TARGET: AUGUST 2027

CONFIDENCE: MEDIUM

WHAT'S NEW

- NATO Ankara Summit (July 7-8) produced no diplomatic breakthrough on the Armenia-Azerbaijan peace process. President Aliyev was listed as "Absent" from the summit, meaning the Trump-Pashinyan-Aliyev trilateral meeting proposed by Carnegie analysts as the critical diplomatic window did not materialize.
- Azerbaijan's senior foreign policy advisor Hikmet Hajiyev told Reuters (July 16) that Azerbaijan is at "real peace" with Armenia but insisted constitutional change remains a precondition for signing, confirming the deadlock.
- TRIPP reached a legislative milestone: the Armenian government approved the ratification bill on July 16, establishing the TRIPP Development Company with a 49-year lease, 74% US and 26% Armenian equity. Konstantin Sokolov – a Russian-born Chicago investor and Trump White House ballroom donor – was named to chair the \$201 million TRIPP+ Enterprise Fund (July 14).
- Russia's economic warfare against Armenia escalated dramatically: Roselkhoznadzor destroyed 39,000 Armenian roses shipped via Belarus (July 21), banned Armenian dairy imports effective July 27, and suspended Iranian flower certification on suspicion of Armenian re-exports. Armenia-Russia trade turnover fell 20.5%, with Russia's share dropping from 35.1% to 28%.
- Pashinyan and Putin held their first post-election phone call (July 27). Pashinyan raised the Russian import bans as violations of EAEU rules; Putin reiterated the

demand for a referendum on EU membership "as soon as possible." Pashinyan responded that a referendum is "practically possible only after Armenia submits an official application to the EU."

- Aliyev used the Shusha Global Media Forum (July 13) to threaten withdrawal from the Council of Europe, disclose China weapons procurement, describe Russia relations as "fully normalised," and call for repeal of Section 907 of US law.
- The Sherman Amendment to H.R. 9087 passed the House Foreign Affairs Committee 44-7 (July 22), calling for the immediate and unconditional release of Armenian hostages held by Azerbaijan. Azerbaijan's Milli Majlis condemned the bill on July 24.
- Von der Leyen visited Yerevan, delivering €18 million in final EU tranche support and implementing autonomous trade measures liberalizing approximately 80% of Armenian exports to the EU.
- Armenia-Turkey normalization continued: special envoys met at the Armenia-Turkey border on July 30, railway freight through the Akhalkalaki-Kars route increased 400%, and the business forum is scheduled to reconvene in September 2026.
- A border incident was reported on July 26 along the Armenia-Azerbaijan line; Armenia also began recruiting border guards specifically for the Azerbaijan border (July 21). British forces began training Armenian military instructors, while Azerbaijan conducted exercises in Jordan.
- Probability unchanged at 80%: the NATO summit – the one event that could have produced a diplomatic mechanism to bridge the constitutional deadlock – confirmed instead that no such mechanism exists. Aliyev's absence signals he sees no urgency to sign. Russia's trade war escalation, while not directly blocking the peace process, consumes Armenian government bandwidth and validates the regime's spoiler role.

ANALYSIS

POLITICAL

The most significant political development since the last report is what did not happen. The July 7-8 NATO summit in Ankara – identified by Carnegie analysts Coşkun and Paylan (June 11) as the critical diplomatic window for a Trump-Pashinyan-Aliyev trilateral meeting – produced no engagement on the Armenia-Azerbaijan peace process. President Aliyev was formally invited but did not attend (Wikipedia entry on 2026 Ankara NATO summit). The summit's agenda was consumed by Ukraine, Iran, and defense spending disputes; the South Caucasus peace process did not feature prominently.

This absence is structurally significant. It confirms Aliyev's pattern of behavior: he is in no rush to sign a peace treaty, and he will not be drawn into a trilateral format where Trump might pressure him for concessions. His July 13 appearance at the Shusha Global Media Forum – held days after the NATO summit – demonstrates he was available for

international engagement during this period. He chose not to engage on the peace process at the one venue where diplomatic momentum could have been built.

Aliyev's Shusha address reinforced several positions that complicate the peace process. He threatened Azerbaijan's withdrawal from the Council of Europe – a signal of diminishing commitment to European institutional norms. He disclosed ongoing weapons procurement from China, expanding Azerbaijan's arms sourcing beyond its traditional Turkish-Israeli axis. He described relations with Russia as "fully normalised," a pointed contrast with the deepening Armenia-Russia rift. And he explicitly called for repeal of Section 907 of US law, the legislative restriction on direct US assistance to Azerbaijan – a demand that places him at odds with the Congressional accountability track.

The Congressional accountability track continued its independent momentum. On July 22, the House Foreign Affairs Committee adopted the Sherman Amendment to H.R. 9087 by a 44-7 bipartisan vote, calling for the unconditional release of all Armenian hostages. Azerbaijan's Milli Majlis responded on July 24 with a formal condemnation, accusing the bill of being driven by "Armenian lobbying interests" and comparing Rep. Sherman to convicted former Senator Robert Menendez. The Milli Majlis statement is noteworthy for its tone – it did not engage substantively with the hostage issue but instead attacked the legislative process itself, signaling that Congressional pressure is being felt in Baku.

The constitutional deadlock remains the binding constraint. Pashinyan's Civil Contract holds 64 of 105 seats – six short of the two-thirds supermajority required to initiate constitutional reform. The pro-Russian opposition (Strong Armenia with 29 seats, Armenia Alliance with ~10 seats) will not support constitutional changes that advance the peace process. Pashinyan's July 27 statement that an EU referendum is "practically possible only after Armenia submits an official application" effectively sets a multi-year timeline for any constitutional changes relevant to the peace process. The EU application → referendum → constitutional amendment sequence cannot be compressed into the 12-month prediction window.

Pashinyan's July 25 phone call with President Macron reaffirming the Armenia-France strategic partnership continues the pattern of bilateral European outreach, but these relationships do not translate into leverage over Azerbaijan's negotiating position. France has no mechanism to compel Aliyev to sign.

ECONOMIC

The economic landscape has bifurcated sharply. Armenia's Western integration is producing measurable institutional results, while Russia's economic warfare is inflicting real damage on specific export sectors.

Western integration track: Von der Leyen's Yerevan visit delivered the final €18 million tranche of EU support and implemented autonomous trade measures liberalizing approximately 80% of Armenian exports to the EU. This is a concrete economic counterweight to Russian pressure, though it operates on a longer timeframe than the immediate trade war damage. The TRIPP ratification bill (July 16) and Sokolov's appointment to chair the TRIPP+ Enterprise Fund (\$201 million) provide institutional

scaffolding for the corridor. However, the critical gap remains: no DFC funding has been committed to specific sub-projects, and the corporate structure alone does not obligate US financial participation. Sokolov's appointment – as a Trump political donor with existing Armenian business interests (Viva Armenia telecom, Teghut copper-molybdenum mine acquisition) – raises governance questions about the nexus between political patronage and strategic infrastructure.

Russian trade war: The escalation since the last report has been severe and multi-vector. The destruction of 39,000 Armenian roses in Bryansk (July 21) was a symbolic and material blow – Russia imported 90% of Armenia's 100-million-rose crop in 2025. The dairy import ban (effective July 27) extends restrictions beyond agricultural produce into processed goods. Russia also suspended Iranian flower certification on suspicion of Armenian re-exports, closing potential workaround routes. The cumulative effect has pushed individual greenhouse enterprises to the brink of closure – the "Geghetsik Varder" greenhouse in Shirak province reported accumulating 20 million AMD in gas debt and being unable to sell roses at prices covering even packaging costs (Armenian Weekly, July 17). Armenia has responded with export subsidies (770 AMD/kg for strawberries, 37 AMD per flower) and market diversification to the UAE (200,000 flowers exported so far in 2026).

The macro-level impact is material: Armenia-Russia trade turnover dropped 20.5%, and Russia's share of Armenian trade fell from 35.1% to 28% – a structural shift that simultaneously validates Armenia's diversification strategy while imposing painful adjustment costs. Pashinyan's July 27 call with Putin – in which he argued the trade bans violate EAEU rules – produced no visible relief, confirming that the restrictions are politically motivated and not responsive to technical compliance arguments.

Turkey-Armenia normalization: The economic track continues to advance independently of the peace treaty. The Akhalkalaki-Kars railway freight volume increased 400%, and the July 30 meeting of special envoys at the Armenia-Turkey border – the fifth such meeting – discussed "confidence-building measures." Pashinyan's July 26 visit to the renovated Margara (Alican) border crossing signals Yerevan's readiness for border opening. However, the land border remains closed, and Turkey continues to condition full normalization on progress in the Azerbaijan-Armenia peace process. The September 2026 business forum is the next milestone.

Iran-Armenia energy cooperation: Iran proposed a new trade model for gas exports to Armenia (July 25), offering a potential buffer against Russian energy leverage. The Iran-Azerbaijan media ban escalation in the same period – with Azerbaijan banning Iranian outlets after Iranian state TV listed AzTV as "enemy media" – adds regional complexity but does not directly affect the Armenia-Azerbaijan peace track.

MILITARY

The military situation remains a low-intensity but persistent flashpoint. The Caucasus Watch weekly brief (July 20-26) reported multiple military developments: Armenia and Georgia military police expanding cooperation, Azerbaijan-Turkey military police training in Ankara, and a reported border incident on July 26 along the Armenia-Azerbaijan line – described by Armenian-aligned sources as "Azerbaijani military aggression."

Armenia initiated recruitment of border guards specifically for the Azerbaijan border (July 21), signaling institutional preparation for a long-term border management posture rather than reliance on Russian forces. This aligns with the broader pattern of Armenia reducing security dependence on Russia – Russian border guards have been progressively withdrawn from the Armenia-Azerbaijan border since the 2025 Washington agreement.

British training of Armenian military instructors (July 26) and Azerbaijan's concurrent exercises in Jordan represent parallel military diversification – both sides are building new security partnerships while the peace process stalls. The military balance remains heavily in Azerbaijan's favor, but the diversification on both sides reduces the risk of a single patron (Russia) being able to trigger or control escalation dynamics.

The Armenian Foreign Intelligence Service's annual report assessed that a war with Azerbaijan in 2026 was "highly unlikely" following the Washington Summit, though it warned that hybrid threats would "highly likely become more comprehensive, complex, and large-scale." This assessment appears consistent with the evidence: no major conventional escalation has occurred, but the information and economic warfare environment has intensified.

| TECHNOLOGICAL

Russia's information warfare apparatus continues to target Armenia, though the focus has shifted from pre-election interference to post-election delegitimization. The trade war escalation serves a dual purpose – economic pressure and a narrative that Armenia's Western pivot carries unacceptable costs, amplified through Russian state media and social media networks.

The TRIPP corridor's technological dimension – fiberoptic connectivity, digital infrastructure, surveillance systems – advanced institutionally with the ratification bill but remains aspirational without committed funding. The corridor's technological architecture would, if implemented, reduce Armenia's dependence on Russian digital and energy networks – which is precisely why Russia opposes it through hybrid means.

The EU mission to counter hybrid threats in Armenia (launched July 15) represents a new institutional response to the information warfare challenge, but its operational capacity and mandate remain to be tested. The mission's effectiveness will depend on whether it can identify and attribute hybrid attacks in real time – a capability that even NATO members have struggled to develop.

WATCH INDICATORS

- Whether Aliyev follows through on the threat to withdraw Azerbaijan from the Council of Europe – a concrete institutional break with European norms
- The September 2026 Armenia-Turkey business forum – whether it produces any commitment to land border opening independent of the peace treaty
- Pashinyan's next steps on the EU application process – a formal application would trigger the referendum sequence that Putin demands but on Armenia's terms

- Russian trade war trajectory – whether the bans expand further (gas, diamonds) or whether the Pashinyan-Putin call produces any de-escalation
- Congressional accountability track – whether the Sherman Amendment advances to a House floor vote or attracts Senate companion legislation
- TRIPP funding – any DFC commitment to specific sub-projects or timeline announcements from Sokolov
- Border incident frequency and severity – particularly whether the July 26 incident represents an isolated event or a pattern of escalation

KEY SOURCES

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5. The Guardian: Trump ballroom donor to lead State Department's \$200m Armenia fund
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8. commonspace.eu: Nikol Pashinyan has a difficult phone conversation with Vladimir Putin
9. Caucasus Watch: Azerbaijan's Parliament Condemns US Bill
10. Armenian National Committee of America: House Foreign Affairs Committee Calls for Azerbaijan's Immediate Release of Armenian Hostages
11. OC Media: Russia bans import of Armenian dairy products
12. RFE/RL: Turkey, Armenia To Hold Normalization Talks At Border
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14. Armenian Weekly: Armenian rose grower forced to sell home, greenhouses amid Russia export crisis
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